CORJETZ

SEP 2023 PAPER

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(1a) Prepare briefing notes for the CPO which outline the problems in culture caused by the previous leadership style and the impact that the current CEO's leadership style has had on Corjetz's culture (12 marks + commercial acumen 4 marks)

BRIEFING NOTES

TO: CPO

FROM: Senior Business Analyst

SUBJECT: Culture

DATE: September 20X4

INTRODUCTION

This briefing note outline the problems in culture caused by the previous leadership style and the impact that the current CEO's leadership style has had on Corjetz's culture.

Power structure

Previous leadership was centralized. Also they were not making adequate use of knowledge and talent available in the business. This adversely affected the growth of the business.

Current leadership adopted a consultative or participatory style of leadership in order to take input from the staff leading to improvement in various areas of the business.

Organizational structure

Ten years ago Corjetz was hierarchical and there was no connection between senior leaders and staff. Due to this Corjet could not maintain their initial growth as customer service was at its lowest and staff turnover at its highest.

The new leadership provided staff with autonomy to take decisions for areas which they were experts in. This lead to better decision making and increased revenues as well as customer satisfaction, which was at its highest level in 20X2.

Control systems

Previous leadership focused on punishment rather than reward. Due to this staff turnover was at its highest and Corjetz lost talented staff, affecting quality of service and increasing customer complaints.

The new leadership introduced staff engagement and communication, training, career development opportunities and attractive packages, which led to higher motivation, reduction in staff turnover from from 5.9% to 5.2% and improved quality of service.

Rituals and routines

Previous leadership did not have any formal communication with staff. Staff were unaware of the key business developments and decisions and hence were not able to participate effectively.

The new leadership introduced the monthly ‘meet the board’ online chats and staff representive meetings to share new ideas. This improved staff engagement and motivation and hence overall business performance.

Symbols

The previous culture was less dynamic hence change and innovation was not embraced.

The new leadership allowed the cabin crew to re-design their own uniforms every four years. This got quite popular amongst the staff and resulted in good uniform designs and improvement in staff morale.

Best regards

Senior Business Analyst

(1b) Prepare TWO presentation slides and accompanying notes for the CPO's meeting with the staff representative committee which (i) Explain the key roles of Corjetz's NEDs; and (ii) Assess the importance to Corjetz of having a diverse board (12 marks + communication 4 marks)

SLIDE 1

KEY ROLE OF NEDS

- Share external perspective
- Monitor the performance of the board
- Challenge Executive directors
- Higher shareholder confidence

Speaker notes

NEDs plays a vital role in the strategic success of the business in a dynamic business environment by sharing their perspective and wider external experience.

There are 4 board committees. NEDs monitors the performance of the Board and Business as majority of the members of board committees comprise of NEDs.

There are 6 executive directors. NEDs can challenge the CEO and other executive directors as they are independent and not working under them.

Corjetz is a listed company with 80% shares held by institutional institutions. NEDs lead to higher shareholder confidence and provide reassurance that our corporate governance procedures are sound and robust

SLIDE 2

IMPORTANCE OF DIVERSE BOARD

- Skills diversity
- Gender diversity
- Ethnic diversity
- Age diversity

Speaker notes

The current directors have a depth of experience. Skills diversity will help the board to understand problems accurately and run all functions and departments of the business in an effective and efficient manner.

We have a female CEO and number of female CEOs are growing across the country. Gender diversity will help the board understand the psychology and challenges of female stakeholders such as passengers, employees. etc. hence leading to better strategy making.

The current directors come from a wide range of backgrounds. Ethnic diversity will help the board understand passengers and employees from various nationalities, culture, religions, language. Etc. so that their needs can be satisfied.

Age diversity will have different ideas and perspectives. Specially younger directors will understand the needs of younger generation and adoption of latest technology.

(2a) Prepare a report for the CFO which assesses the suitability, acceptability and feasibility of the proposal to invest in the AI flight simulation technology. Your answer should recommend, with reasons, whether it should be undertaken as soon as possible, as suggested by the CCO (16 marks + skepticism skill 4 marks)

REPORT

TO: CFO

FROM: Senior Business Analyst

SUBJECT: AI flight simulation technology

DATE: September 20X4

INTRODUCTION

This report assesses the suitability, acceptability and feasibility of the proposal to invest in the AI flight simulation technology including recommending whether it should be undertaken as soon as possible, as suggested by the CCO.

SUITABILITY

Core value

Driving innovation is one of the core values of Corjet. Investment in the new AI flight simulation technology is in line with the core value which will help in future business growth.

More realistic simulations

AI provides more realistic simulations to develop pilot skills. This will enhance the skills and competencies of our pilots leading to better safety in line with our value of commitment to safety.

Individual pilot data

AI collects performance data of individual pilots. This will help us monitor the performance and progress of each pilot and we can develop personalized training programs to enhance their skills.

Reduction in time

It reduces the time taken to train new pilots by 4 months which means that the pilots will be ready to operate aircraft much faster, leading to higher revenues.

Cost savings

It also leads to significant reduction in costs of initial training and annual update training. As training cost is $140 million currently, this can result in substantial savings. This will increase our profits.

Not all scenarios

The capability of AI in replicating decision-making in all scenarios is still uncertain. How will the pilots train if all scenarios are not covered? This could compromise on their training quality (scepticism)

Successful application

One country has invested in AI simulation for training of their military pilots. We cannot reply on this success story as its not from commercial airline industry. Don't you think it will be very high risk to be the first commercial airline to try the AI simulation successfully? (scepticism)

Regulations

The regulations are moving slowly than the technology. We may require regulatory approvals as pilot training is directly linked to safety of passengers and staff.

FEASIBILITY

Specialized trainer

A human trainer is needed to manage the AI and this is a highly specialized job. We may face challenges in recruiting and retaining experienced AI instructors and there is limited availability worldwide.

High investment

The initial investment amount required is $500m. Since this is a huge amount, how will it be arranged? We will need to analyze what will be the source of financing for this proposal. (scepticism)

ACCEPTABILITY

Shareholder acceptance

80% of our shareholders are institutional investors. A formal financial feasibility as well as risk assessment needs to be done in order to seek shareholders' approval.

Passenger acceptance

Passengers will need to be convinced of the quality, safety and benefits of using AI. Don't you think some customers might be reluctant to accept pilots trained by AI simulation instead of being trained in real flight? (scepticism)

RECOMMENDATION

While the proposal looks promising in terms of cost savings and in line with our core values, I do not think it should be undertaken immediately. There are many strategic and risk areas which needs further analysis such as acceptance by customers, regulators and availability of skilled and experienced AI instructors.

Best regards

Senior Business Analyst

(DRAFT ANY 10 POINTS INCLUDING RECOMMENDATION)

(2b) Draft an email response which the CFO can send to the risk manager which (i) Discusses the dynamic nature of Corjetz's principal risks (6 marks + evaluation skill 2 marks) AND (ii) Assesses the potential consequences of each of these risks for Corjetz (10 marks + evaluation skill 2 marks)

EMAIL

TO: CFO

FROM: Senior Business Analyst

SUBJECT: Principal Risks

DATE: September 20X3

This email discusses the dynamic nature of Corjetz's principal risks AND assesses the potential consequences of each of these risks for Corjetz

Dynamic nature of risk

All risks are dynamic in nature which means that risk levels are never constant or fixed. Hence all risks should monitored regularly so that the risk levels and mitigation actions can be updated in a timely manner

External attack on or failure of critical technology

There is increased sophistication in organized crime. Hence this risk is very dynamic in nature as hackers are constantly looking for new ways for cyberattacks in order to cause business damage or disruption.

Safety / security risk:

The airline industry has been impacted by several terror attacks in recent years. Hence this risk is very dynamic in nature as geopolitical situations, wars and terrorism, political uncertainties are changing.

Climate change risk

Weather patterns and climate regulations are changing. However they are relatively less dynamic in nature as compared to cyberattack and safety risks.

Potential consequences

External attack on or failure of critical technology

If there is a cyber attack, we can lose confidential business data. We can also lose private and sensitive data of our customers such as their personal details, credit card information, etc. This will lead to a major reputational loss as well as legal fines and penalties.

Incase our critical technologies malfunction, it will cause major disruptions to our operations. We will not be able to operate our flights on time causing significant delays to our passengers leading to significant reputation as well as financial loss.

Significant safety/security event

Commitment to safety is one of our core values. In case of any safety or security event, it can lead to injuries or deaths of our customers and staff leading to severe reputational damage, negative coverage in media and legal cases. It will also lower customer's confidence in air travel.

It will also lead to a significant loss of assets and fall in customers / revenue and profitability. If the magnitude is major, it can also lead to cancellation of our license causing going concern issue.

Climate change and eco-policies and regulations

Commitment to sustainable behavior is one of our core values Storms and extreme climate will affect our flight operations and cause delays and inconvenience to our passengers. It will further deteriorate our punctuality % which is already falling since last 3 years.

Tighter environmental regulations will increase the cost of compliance and monitoring. It also increases the risk of legal non-compliance which can lead to fines and penalties as well as loss of green customers

Best regards

Senior Business Analyst

(3a) Prepare a report for the CFO which assesses the performance of Corjetz in the latest financial year, explaining the potential reasons for, and implications of, the results (16 marks + Analysis Skill 4 marks)

REPORT

TO: CFO

FROM: Senior Business Analyst

SUBJECT: Assessment of Performance

DATE: September 20X4

INTRODUCTION

This report assesses the performance of Corjetz in the latest financial year, explaining the potential reasons for, and implications of, the results.

Revenue

The revenue has increased by $ 439m (8.3%). This revenue growth is mainly due to increase in number of passengers flown during the year which also increased by 8.5%. This has a favourable impact as it will increase Corjetz's market share.

Costs

Costs have increased by $ 366m (9.8%). This increase is mainly due to increase airport ground handling fees which have increased due to increase in number of passengers and higher demand. Rising cost will adversely impact our gross profit margins.

Fuel cost

Fuel costs has increased by $ 211m (19.8%). This increase is due to increase in the number of routes operated from 912 to 978 (7.2%). However the fuel cost has also increased due to increase in the jet fuel prices which is strongly correlated to the international price of crude oil as well as unfavourable exchange rates. This will have an adverse impact on our profitability.

Profit before tax

Profit before tax has reduced by $ 138m (26.3%). This decrease is due to more than proportionate increase in operating costs, particularly fuel cost. This is the first time in last 5 years that our profit before tax has fallen and will affect your dividends and share prices negatively.

Number of Passengers

Number of passengers have increased by 0.8m (8.5%). This increase is strong growth in the demand for low cost airlines, increase in the number of routes operated from 912 to 978 (7.2%) as well as Corjetz continuous investment in technology and marketing. This will lead to increase in revenue and market share.

ROCE %

ROCE has reduced 13% to 9.3% which is a significant reduction. This decrease is mainly due to fall in profits as a result of rising fuel cost. Since Corjetz is a listed company, this can adversely affect our share prices.

Customer Satisfaction

Customer satisfaction % has slightly reduced from 78% to 77%. This is mainly due to decrease in punctuality %. Customers can move to competitors who offers better service and hence this can adversely affect our reputation and market share.

Punctuality

Punctuality has reduced 79% to 76%. This decrease is mainly due to delays caused by airport ground handling services due to higher passenger demand. Our punctuality is consistently falling since last 4 years and it can affect our reputation and market share as well as increase operating costs

Staff turnover

Staff turnover has reduced 5.9% to 5.2% which is a good sign. This is due to better engagement with employees through regular communication, career development opportunities and attractive pay scales. This will improve quality, increase staff motivation and reduce recruitment and training costs.

CO2 %

Co2 emission has reduced 88 to 82. This is due to investing in more energy efficient and environmentally friendly aircrafts. This will enhance our reputation and will help us attract more passengers, particularly green conscious passengers.

Best regards

Senior Business Analyst

(3b) Prepare briefing notes for the CFO which outline the content that Corjetz should report to its key stakeholders within an annual environmental and sustainability audit report (8 marks)

BRIEFING NOTES

TO: CFO

FROM: Senior Business Analyst

SUBJECT: Environmental and sustainability audit report

DATE: September 20X4

INTRODUCTION

This briefing note outline the content that Corjetz should report to its key stakeholders within an annual environmental and sustainability audit report.

Environmental objectives and targets

We can include what are the environmental and sustainability objectives and targets for Corjet. Targets can be both short term and long term.

Environmental initiatives

We can include what initiatives Corjetz is taking to minimize its environmental footprint, such as

Scare resources

Corjet is investing more in fuel efficient aircrafts. This will lead to lower consumption of fuel.

Corjet is also increasing the use of paperless technology and mobile apps so that passengers can download their tickets and boarding pass. This minimizes the use of paper and protect trees.

Waste management and recycling

Corjet is taking initiatives for waste elimination as it is part of our core values to minimize wastages.

Pollution and Co2 emission

Corjet is investing more in fuel efficient aircrafts which helps in reducing the emission and carbon footprint.

Environmental KPIs

We can include KPIs relating to the four sustainability principles i.e. climate responsibility, safety and security, customer and supplier relationships and employee relationships so that the shareholders can measure and assess our progress.

Best regards

Senior Business Analyst